

TD SECURITIES (USA) LLC

August 11, 2026

Price: \$820.59 (08/11/2026)

Price Target: \$820.00 (Prior \$800.00)

HOLD (2)
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Key Data

Symbol	NASDAQ: LITE
Beta:	1.51
52-Week Range:	\$1,053.09-\$114.62
Market Cap:	\$63.8B
Net Debt (MM):	\$141.4
Cash/Share:	\$1.19
Dil. Shares Out (MM):	96.2
Enterprise Value (MM):	\$79,082.2
BV/Share:	\$41.47
Dividend:	\$0.00
Yield:	0.0%

FY (Jun)	2026A	2027E	2028E
EPS			
Q1	\$1.10	\$4.20	\$7.10
Q2	\$1.67	\$4.92	\$7.78
Q3	\$2.37	\$5.66	\$8.50
Q4	\$3.23	\$6.46	\$9.11
Year	\$8.37	\$21.25	\$32.50
P/E	98.0x	38.6x	25.3x
Consensus EPS	\$7.60	\$18.58	\$29.53

Consensus source: FactSet

Revenue (MM)

Year	\$3,014.1	\$6,295.2	\$9,618.4
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EARNINGS UPDATE

Continued Strong Execution, But Cycle Questions Linger

THE TD COWEN INSIGHT

A strong beat/raise likely at or slightly above investor expectations coming into the evening. Commentary on demand environment was consistent with past quarters and intra-quarter messaging, but we believe investor models were likely already well ahead of Street. Our numbers come up nonetheless, and we introduce a F2028E EPS estimate >\$30. Remain Hold, PT to \$820.

Solid Beat/Raise as \$1.25B Quarter Comes ~3 Months Early, But We Think Investors Were Likely Already There: By standard metrics, we would view the reported print and guidance as a stand-out quarter: EPS ~10% above guidance in the print and >15% ahead of consensus in the SepQ guide. However, we believe most investors were already expecting this magnitude of a beat/raise, and we see this as likely to drive a more muted reaction T+1. Much of management's positive commentary was consistent with intra-quarter messaging ([here](#)) that described a strong and even accelerating demand environment. Specifically, management reiterated its view that EML demand exceeds supply by ~30% and noted that the supply/demand imbalance for UHP lasers in CPO/NPO applications is widening, not shrinking.

"Expanding Laser Chip Strategy" Perhaps Difficult to Square with Demand Commentary, But We Believe Reflects a Prudent Longer-Term View of the 1.6T Generation: On the call, management highlighted an expanded laser chip strategy in which they had leveraged better-than-expected output at the company's Japan facility to ship more continuous wave (CW) lasers to transceiver customers. We admittedly struggled initially to understand this in the context of the still-tight EML and UHP environment, given EMLs have historically carried a significantly higher margin profile than CW lasers (though that gap has narrowed). However, when viewed **across the full life-span of the 1.6T line rate generation**, we can better appreciate the strategic nature of supporting CW upside even as EMLs remain constrained. As management has noted in the past, 1.6T is likely to be more SiPho- and CW-heavy overall than was 800G. We believe Lumentum is opting to support upside today as a way to preserve its participation in CW-based 1.6T transceivers over the next 3+ years, essentially expanding its market opportunity in the 1.6T generation by ensuring it is a trusted partner for both CW and EML builds.

Three Positives: **1)** SepQ revenue/EPS guide well above Street numbers and hitting OFC \$1.25B target ~3 months early; **2)** Demand continues to outstrip supply in key areas such as EML and UHP lasers, with customer engagement deepening on CPO/NPO; **3)** Strong execution amidst what is by any measure a significant supply chain ramp across multiple diverse product categories and manufacturing processes.

Three Negatives: **1)** Expanding laser chip strategy to CW while EML remains supply constrained is likely to invite confusion among investors (though is likely prudent long-term); **2)** Margin upside a potential double-edged sword as investors comp to other cyclical businesses that have seen material margin compression in downcycles; **3)** Broader cycle concerns (coupled with margin concerns above) driven by significant capacity expansion in China (though we see the company as operating in a much higher tier of tech differentiation than what we currently observe in China).

Estimates/Rating: Our F2027 revenue and EPS estimates come up on the raised guide, and we extend our model to above-consensus F2028 (though we expect Street numbers to likewise come up). We maintain our Hold rating and raise our PT to \$820, based on ~25x our new F2028E EPS.

AT A GLANCE

Our Investment Thesis

We believe Lumentum is very well positioned to benefit from ongoing AI infrastructure spending across all three scaling domains (up, out, and across). We see the company's positioning in scale up co-packaged optics as especially attractive, and represents an entirely greenfield growth opportunity for Lumentum. Our caution relative to others in our coverage is due to what we view as the potential for the merchant InP market to tip into oversupply, as capacity expansions industry-wide coincide with the increasing demand for smaller, higher-yielding CW lasers.

Base Case Assumptions

- Robust demand for optical components and transceivers remains intact
- Lumentum maintains share in photonic components, especially high-speed lasers
- Capacity expansions in InP eventually balance supply with demand in lasers

Upside Scenario

- Greater-than-anticipated demand for optics, especially early adoption of scale-up CPO
- Lumentum gains share in photonics and maintains its leading laser position
- Capacity expansions in InP drive revenue upside but demand continues to outstrip supply

Forthcoming Catalysts

- Potential announcements of scale-up CPO platforms from additional customers beyond NVIDIA
- Increasing optical attach rates to accelerators as cluster sizes grow

Downside Scenario

- A slowing of demand for optics either driven by greater adoption of copper-based solutions or the slackening of AI infra demand overall
- Lumentum loses share to competitive merchant solutions as simpler CW lasers proliferate
- Capacity expansion tips the InP market into oversupply, creating an adverse pricing environment

Price Performance



Source: Bloomberg

Company Description

Lumentum Holdings Inc. is a provider of optical and photonic products, headquartered in San Jose, California. The company was formed as a wholly owned subsidiary of JDS Uniphase in February 2015 and became an independent public company via a spin-off in August 2015, with operating roots that trace back to Uniphase (founded 1979) and JDS Fitel (formed 1981) and their 1999 merger into JDSU. Since becoming independent, Lumentum has expanded its technology base and portfolio through acquisitions that management describes as broadening its indium phosphide laser and photonic integration capabilities and extending its reach in cloud and telecom optical components and modules, including Oclaro (2018), NeoPhotonics and IPG Photonics' telecom transmission product lines (both 2022), and Cloud Light (2023).

Analyst Top Picks

	Ticker	Price (08/11/2026)	Price Target	Rating
Ciena	CIEN	\$387.53	\$675.00	Buy
Credo Technology Group Holding Ltd	CRDO	\$247.69	\$260.00	Buy
Semtech Corp.	SMTC	\$131.18	\$215.00	Buy

Lumentum Holdings C2Q26 Earnings Summary										
(USD millions except /sh amounts, except where otherwise specified)										
	CQ2:26 Actual			TD Cowen Prior		Street Prior		CQ3:26E Guidance		
	Result	Q/Q	Y/Y	Estimate	Variance	Estimate	Var.	Guide	Street	Var.
P&L										
Total revenues	1,006	24%	109%	985	2%	988	2%	1,250	1,157	8%
Gross margin	50.4%	252bps	1260bps	48.7%	158bps	48.4%	20bps		48.9%	
OPEX	138	9%	26%	130	8%	127	8%			
Operating margin	36.7%	44 bps	2, 6 bps	35.5%	1160bps	35.5%	1190bps	40.0%		
EBITDA	403	23%	202%	382	5%					
Reported EPS (Incl. SBC)	3.23	36%	267%	2.95	9%	2.97	9%	4.20	3.61	
BS / CF										
Cash & equivalents	2,044	(574)	1,523	2,474	(439)					
Inventory	692	59	222	763	(71)					
DSO	47	(3)	(0)	52	(4)					
DIO	126	(11)	(7)	136	(10)					
DPO	104	19	35	83	21					
Gross Debt	1,637	(1644)	(947)	3,282	(1644)					
Net leverage	(0.3x)	(0.8x)	(4. 1x)	0.5x	(0.8x)					
CFO	420	107%	557%	125	237%					
Capex	120	(5)	66	120	0%					
FCFF	300	28%	2873%	5	6494%					
/sh	2.97	250%	2047%	0.04	6552%					
Dividends	---			---						
Share Repurchases	---			---						

Source: TD Cowen, FactSet

Key Takeaways From The Call:

- Management characterized the demand environment as still well ahead of supply, with EML demand still ~30% ahead of the company's ability to supply and incrementally greater demand imbalance for ultra-high power lasers for CPO/NPO applications.
- Non-GAAP GM in print (and implied in guidance) >50%—well ahead of the company's target model described at OFC on both a gross and operating margin basis.
- Supply expansions remain on track, with EML capacity still expected to grow 50% Y/Y by DecQ (compared to DecQ 2025). Greensboro fab expansion similarly on track to begin material revenue contributions in ~2H28. Additional output in Japan facility contributed to increased ability to ship CW lasers to transceiver customers.
- Optical transport demand continues apace as narrow line-width lasers grew >130% Y/Y and pump lasers +80% Y/Y (with LTAs in place for scale across deployments).
- Record 800G cloud transceiver shipments and initial 1.6T shipments with internal CW lasers in the quarter. The company also received its first order for a full ELS module (in addition to just the laser).

Investment Thesis: We believe Lumentum is very well positioned to benefit from ongoing AI infrastructure spending across all three scaling domains (up, out, and across). We see the company's positioning in scale up co-packaged optics as especially attractive, and represents an entirely greenfield growth opportunity for Lumentum. Our caution relative to others in our coverage is due to what we view as the potential for the component market to tip into oversupply, as significant capacity expansions industry-wide coincide with increasing demand for smaller, higher-yielding CW lasers.

Figure 1 TD Cowen Versus Consensus Estimates

FQ4-26 Results	Actual	Old	New vs Old	Consensus	TD Cowen vs. Consensus	Guidance
Revenue (\$M)	\$ 1,006.4	\$ 984.5	2.2%	\$ 987.7	1.9%	~\$985M
Gross Margin	50.4%	48.7%	3.4%	48.4%	4.2%	
Operating Income	\$ 368.9	\$ 349.5	5.6%	\$ 350.3	5.3%	
Operating Margin	36.7%	35.5%	3.3%	35.5%		35.5%
non-GAAP EPS	\$ 3.23	\$ 2.95	9.5%	\$ 2.97	8.7%	~\$2.95

F1Q-27 Outlook	TD Cowen	Old	New vs Old	Consensus	TD Cowen vs. Consensus	Guidance
Revenue (\$M)	\$ 1,249.7	\$ 1,250.8	-0.1%	\$ 1,156.9	8.0%	~\$1,250M
Gross Margin	50.8%	49.3%		48.9%	3.9%	
non-GAAP EPS	\$ 4.20	\$ 4.02	4.5%	\$ 3.61	16.4%	~\$4.20

2026 Outlook	TD Cowen	Old	New vs Old	Consensus	TD Cowen vs. Consensus	Guidance
Revenue (\$M)	\$ 3,014	\$ 2,992.2	0.7%	\$ 3,000.6	0.5%	
Gross Margin	46.0%	45.4%		45.0%		
non-GAAP EPS	\$ 8.37	\$ 8.09	3.4%	\$ 8.23	1.8%	

2027 Outlook	TD Cowen	Old	New vs Old	Consensus	TD Cowen vs. Consensus	Guidance
Revenue (\$M)	\$ 6,295	\$ 5,763	9.2%	\$ 5,672.5	11.0%	
Gross Margin	51.1%	50.1%		49.0%		
non-GAAP EPS	\$ 21.25	\$ 19.15	11.0%	\$ 18.58	14.4%	

2027 Outlook	TD Cowen	Old	New vs Old	Consensus	TD Cowen vs. Consensus	Guidance
Revenue (\$M)	\$ 9,618			\$ 8,772.2	9.6%	
Gross Margin	51.8%			50.4%		
non-GAAP EPS	\$ 32.50			\$ 29.53	10.1%	

Source: TD Cowen, Company Reports, FactSet

Figure 2 Lumentum Income Statement

Lumentum Holdings Inc. - LITE-US																								
Consolidated Income Statement																								
(in millions, except per share information)																								
Period Date	FQ1-25 A	FQ2-25 A	FQ3-25 A	FQ4-25 A	FQ1-26 A	FQ2-26 A	FQ3-26 A	FQ4-26 A	FQ1-27 E	FQ2-27 E	FQ3-27 E	FQ4-27 E	FQ1-28 E	FQ2-28 E	FQ3-28 E	FQ4-28 E	FQ1-29 E	FQ2-29 E	FY-24 A	FY-25 A	FY-26 E	FY-27 E	FY-28 E	
	9/30/2024	12/31/2024	3/31/2025	6/30/2025	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2027	6/30/2027	9/30/2027	12/31/2027	3/31/2028	6/30/2028	9/30/2028	12/31/2028	6/30/2024	6/30/2025	6/30/2026	6/30/2027	6/30/2028	
Notes to Income Statement	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	
Total Revenue	337	402	425	481	534	666	808	1,006	1,250	1,462	1,681	1,902	2,093	2,302	2,518	2,706	2,895	3,185	1,359	1,645	3,014	6,295	9,618	
Q/Q (%)	9.3%	19.4%	5.7%	13.1%	11.0%	24.7%	21.5%	24.5%	24.2%	17.0%	15.0%	13.1%	10.0%	10.0%	9.4%	7.5%	7.0%	10.0%						
5-Yr Seasonality	10.6%	4.5%	-12.0%	-5.5%	10.5%	8.0%	-8.5%	-1.2%	8.1%	11.6%	-1.7%	5.0%	10.0%	15.3%	3.6%	6.3%	8.0%	17.3%						
Y/Y (%)	6.1%	9.7%	16.0%	55.9%	58.4%	65.5%	90.1%	109.4%	134.1%	119.7%	108.0%	89.0%	67.5%	57.4%	49.8%	42.2%	36.3%	36.3%	-23.1%	21.0%	83.2%	108.9%	52.8%	
Components	231	264	301	320	379	444	533	650	770	862	991	1,150	1,288	1,417	1,544	1,683	1,801	1,981		1,116	2,006	3,773	5,932	
Share of Revenue	69%	66%	71%	67%	71%	67%	66%	65%	62%	59%	59%	60%	62%	62%	61%	62%	62%	62%	0%	68%	67%	60%	62%	
Q/Q (%)		14.0%		1.4%	6.5%	16.4%	17.0%	20.2%	21.8%	16.8%	12.0%	15.0%	16.0%	12.0%	10.0%	9.0%	9.0%	7.0%	10.0%					
Y/Y (%)					63.9%	68.3%	77.3%	102.7%	103.0%	94.3%	85.9%	77.0%	67.3%	64.3%	55.8%	46.4%	39.8%	39.8%			79.7%	88.1%	57.2%	
Systems	106	139	124	160	155	222	275	357	490	600	690	752	805	885	974	1,022	1,094	1,203		929	1,008	2,522	3,686	
Share of Revenue	31%	34%	29%	33%	29%	33%	34%	35%	38%	41%	41%	40%	38%	38%	39%	38%	38%	38%	0%	32%	33%	40%	38%	
Q/Q (%)					-3.6%	43.5%	24.0%	29.7%	34.5%	25.0%	15.0%	9.0%	7.0%	10.0%	10.0%	5.0%	7.0%	10.0%						
Y/Y (%)					46.5%	60.1%	121.1%	122.6%	210.5%	170.5%	150.8%	110.7%	67.7%	47.5%	41.1%	35.9%	35.9%	35.9%			90.7%	150.1%	46.2%	
Cost of Goods Sold	227	272	276	299	324	383	422	499	615	716	821	924	1,013	1,112	1,214	1,301	1,390	1,525	924	1,074	1,627	3,076	4,640	
Gross Margin (%)	32.6%	32.3%	35.2%	37.8%	39.4%	42.5%	47.9%	50.4%	50.8%	51.0%	51.2%	51.4%	51.6%	51.7%	51.8%	51.9%	52.0%	52.1%	32.0%	34.7%	46.0%	51.1%	51.8%	
Gross Profit	110	130	150	182	210	283	387	507	635	746	861	978	1,080	1,190	1,304	1,404	1,505	1,659	435	572	1,387	3,219	4,979	
Research & development	63	62	63	68	69	70	78	88	89	103	118	126	139	153	165	177	189	202	260	256	305	436	633	
Selling, general & administrative	36	36	40	42	42	45	48	51	52	57	62	69	76	83	90	96	103	106	152	155	185	240	345	
Other operating expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Total Operating Expenses	100	98	103	109	111	115	126	138	141	159	180	195	214	236	255	273	292	308	413	411	490	676	978	
Operating Income	10	32	46	72	100	168	261	369	494	586	690	783	865	954	1,050	1,132	1,214	1,351	23	160	897	2,543	4,001	
Net interest income (expense)	(6)	(6)	(6)	(5)	(5)	(6)	(6)	(3)	(3)	(3)	(3)	(3)	(3)	(2)	(2)	(2)	(2)	(2)	(34)	(22)	(20)	(11)	(8)	
Other non-operating income (expenses)	10	10	9	9	9	11	16	25	20	19	19	19	19	19	19	19	19	19	76	37	60	76	74	
Income Before Taxes	15	36	49	75.8	104	172	270	390.9	511	602	696	798	881	971	1,066	1,148	1,230	1,368	65	175	937	2,608	4,066	
Income tax	2	6	8	13	17	28	45	65	84	99	115	132	145	160	176	189	203	226	10	29	155	430	671	
Effective tax rate	16%	16%	17%	16%	17%	16%	17%	17%	17%	17%	17%	17%	17%	17%	17%	17%	17%	17%	15%	16%	16%	17%	17%	
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Pro-Forma Net Income	12	30	41	63	86	144	226	326	427	503	581	667	736	811	890	959	1,027	1,142	56	146	782	2,177	3,396	
Pro-Forma EPS (Diluted)	0.18	0.42	0.57	0.88	1.10	1.67	2.37	3.23	4.20	4.92	5.66	6.46	7.10	7.78	8.50	9.11	9.72	10.75	0.83	2.04	8.37	21.25	32.50	
Reconciliation to GAAP																								
Stock-Based Compensation	36	39	63	40	47	48	47	50	50	50	50	50	50	50	50	50	50	50	129	177	191	200	200	
Acquisition Related Items	3	3	2	2	1	10	2	1	1	1	1	1	1	1	1	1	1	1	51	10	13	2	2	
Amortization of Intangibles	42	39	34	35	34	34	34	34	34	34	34	34	34	34	34	34	34	34	151	150	136	134	134	
Other Items	13	(3)	(11)	11	17	(16)	4	7,765	-	-	-	-	-	-	-	-	-	-	141	10	7,770	-	-	
Tax impacts	1	13	(3)	(237)	(16)	(10)	(5)	(361)	-	-	-	-	-	-	-	-	-	-	131	(227)	(392)	-	-	
GAAP net income	(82)	(61)	(44)	213	4	78	144	(7,162)	343	419	497	583	652	727	806	875	943	1,058	(547)	26	(6,935)	1,841	3,059	
GAAP EPS (Diluted)	(1.19)	(0.85)	(0.61)	2.96	0.05	0.91	1.51	(70.84)	3.37	4.10	4.84	5.65	6.29	6.97	7.70	8.31	8.92	9.96	(8.07)	0.31	(68.36)	17.96	29.28	
Average Shares Outstanding - Diluted (GAAP)	68	69	69	70	70	71	72	85	85	85	86	86	87	87	88	88	88	89	67	69	74	86	87	
Average Shares Outstanding - Diluted (non-GAAP)	69	72	72	72	78	86	95	101	102	102	103	103	103	104	104	105	105	106	106	68	71	90	102	104
Assumed repurchase price									\$25.00	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00						
Cost as % of Revenue																								
Cost of Sales	67.2	67.7	64.8	62.2	60.6	57.5	52.1	49.6	49.2	49.0	48.8	48.6	48.4	48.3	48.2	48.1	48.0	47.9	66.0	65.3	54.0	46.9	48.2	
Pro-Forma Gross Profit	32.8	32.3	35.2	37.8	39.4	42.5	47.9	50.4	50.8	51.0	51.2	51.4	51.6	51.7	51.8	51.9	52.0	52.1	32.0	34.7	46.0	51.1	51.8	
Research and Development	18.6	15.5	14.9	14.1	12.9	10.5	9.7	8.7	7.1	7.0	7.0	6.6	6.6	6.6	6.6	6.5	6.5	6.3	19.2	15.6	10.1	6.9	6.6	
General and Administrative	11.2	8.9	9.4	8.7	7.8	6.8	5.9	5.0	4.1	3.9	3.7	3.6	3.6	3.6	3.6	3.6	3.6	3.3	11.2	9.4	6.1	3.8	3.6	
Operating Income	3.0	7.9	10.8	15.0	18.7	25.2	32.2	36.7	39.5	40.1	40.5	41.1	41.4	41.5	41.7	41.8	41.9	42.4	1.7	9.7	29.8	40.4	41.6	
Other, net	(1.6)	(1.4)	(1.3)	(1.1)	(0.9)	(0.9)	(0.8)	(0.3)	(0.2)	(0.2)	(0.2)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(2.5)	(1.3)	(0.7)	(0.2)	(0.1)	
Income Before Taxes	4.3	8.9	11.5	15.8	19.4	25.9	33.4	38.8	40.9	41.2	41.4	42.0	42.1	42.2	42.3	42.4	42.5	43.0	4.8	10.7	31.1	41.4	42.3	
Pro-Forma Net Income	3.6	7.5	9.6	13.2	16.2	21.6	27.9	32.4	34.2	34.4	34.6	35.0	35.2	35.2	35.4	35.4	35.5	35.9	4.1	8.9	26.0	34.6	35.3	
Tax Rate (pro-forma)	16.4	16.4	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	16.5	14.5	16.5	16.5	16.5	16.5	
Quarter/Quarter % change:																								
Revenue	9.3%	19.4%	5.7%	13.1%	11.0%	24.7%	21.5%	24.5%	24.2%	17.0%	15.0%	13.1%	10.0%	10.0%	9.4%	7.5%	7.0%	10.0%						
Operating Income	163.3%	217.0%	45.4%	56.8%	38.0%	68.0%	55.5%	41.5%	33.9%	18.7%	16.1%	13.1%	10.6%	10.3%	10.0%	7.8%	7.3%	10.3%						
Year/Year % change:																								
Revenue	6.1%	9.7%	16.0%	55.9%	58.4%	65.5%	90.1%	109.4%	134.1%	119.7%	108.0%	89.0%	67.5%	57.4%	49.8%	42.2%	38.3%	38.3%	-23.1%	21.0%	83.2%	108.9%	52.8%	
Operating Income	-5.7%	143.8%	207.3%	557.8%	898.0%	439.0%	465.5%	410.2%	395.0%	249.6%	161.0%	112.2%	75.2%	62.8%	54.3%	44.6%	40.3%	41.8%	-93.3%	602.2%	460.3%	193.5%	57.3%	
Net income	-47.9																							

Figure 3 Lumentum Balance Sheet

Lumentum Holdings Inc. - LITE-US																		
Consolidated Balance Statement																		
(in millions, except per share information)																		
Period Date	FQ3-24 A 3/31/2024	FQ4-24 A 6/30/2024	FQ1-25 A 9/30/2024	FQ2-25 A 12/31/2024	FQ3-25 A 3/31/2025	FQ4-25 A 6/30/2025	FQ1-26 A 9/30/2025	FQ2-26 A 12/31/2025	FQ3-26 A 3/31/2026	FQ4-26 A 6/30/2026	FQ1-27 E 9/30/2026	FQ2-27 E 12/31/2026	FQ3-27 E 3/31/2027	FQ4-27 E 6/30/2027	FQ1-28 E 9/30/2027	FQ2-28 E 12/31/2027	FQ3-28 E 3/31/2028	FQ4-28 E 6/30/2028
Balance Sheet:																		
Cash and cash equivalents	425	437	489	480	516	521	773	658	2,618	2,044	2,134	2,229	2,499	2,854	3,298	3,705	4,288	4,958
Short-term investments	446	450	427	417	350	356	349	498	555	695	754	812	871	930	988	1,047	1,106	1,165
Accounts receivable, net	230	195	199	227	256	250	307	377	442	520	655	766	881	997	1,097	1,207	1,320	1,418
Inventories	421	398	403	402	423	470	532	570	633	692	863	1,006	1,152	1,298	1,422	1,561	1,704	1,827
Prepaid expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	129	110	118	126	122	120	125	181	149	212	217	222	227	232	237	242	247	252
Total Current Assets	1,650	1,590	1,636	1,651	1,667	1,717	2,086	2,283	4,396	4,162	4,623	5,035	5,630	6,311	7,042	7,762	8,664	9,620
Property & equipment, net	655	645	674	696	726	754	825	814	964	1,159	1,246	1,432	1,518	1,603	1,688	1,873	1,958	2,042
Goodwill	1,056	1,056	1,061	1,061	1,061	1,061	1,061	1,061	1,066	1,069	1,069	1,069	1,069	1,069	1,069	1,069	1,069	1,069
Other intangibles	689	618	574	535	500	465	431	397	363	327	326	326	325	325	324	324	323	323
Long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred tax assets	139	11	13	11	13	210	205	206	198	531	534	537	540	543	546	549	552	555
Other noncurrent assets	16	13	12	12	9	11	6	45	41	59	59	59	59	59	59	59	59	59
Total Assets	4,205	3,932	3,970	3,966	3,975	4,219	4,613	4,805	7,028	7,308	7,857	8,459	9,142	9,910	10,730	11,637	12,626	13,668
Accounts payable	133	126	163	185	195	225	279	347	393	567	708	825	945	1,065	1,167	1,281	1,398	1,499
Accrued liabilities	40	36	42	40	43	58	69	125	159	146	156	166	176	186	196	206	216	226
Current and ST debt	14	13	23	21	22	22	1,091	3,240	3,239	1,597	1,597	1,597	1,597	1,597	1,597	1,597	1,597	1,597
Other current liabilities	130	94	77	101	93	88	87	56	75	170	172	174	176	178	180	182	184	186
Total Current Liabilities	318	269	305	347	353	393	1,526	3,768	3,865	2,481	2,633	2,762	2,894	3,026	3,140	3,266	3,395	3,508
Noncurrent debt	2,502	2,503	2,569	2,561	2,562	2,563	2,165	47	43	41	41	41	41	41	41	41	41	41
Lease obligations	47	43	30	26	26	24	25	23	19	20	22	24	26	28	30	32	34	36
Other noncurrent liabilities	161	159	170	160	154	105	117	121	127	122	124	126	128	130	132	134	136	138
Total Liabilities	3,028	2,975	3,074	3,094	3,096	3,084	3,832	3,959	4,055	2,664	2,820	2,953	3,089	3,225	3,343	3,473	3,606	3,723
Total stockholders' equity	1,177	957	896	872	880	1,135	781	847	2,973	4,644	5,037	5,505	6,053	6,685	7,387	8,164	9,020	9,945
Minority interests	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities & Stockholders' Equity	4,205	3,932	3,970	3,966	3,975	4,219	4,613	4,805	7,028	7,308	7,857	8,459	9,142	9,910	10,730	11,637	12,626	13,668
Check of Balance Sheet	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Liquidity Measures

Current Ratio	5.2	5.9	5.4	4.8	4.7	4.4	1.4	0.6	1.1	1.7	1.8	1.8	1.9	2.1	2.2	2.4	2.6	2.7
Quick Ratio	3.9	4.4	4.0	3.6	3.5	3.2	1.0	0.5	1.0	1.4	1.4	1.5	1.5	1.7	1.8	1.9	2.1	2.2
Working Capital	1,332	1,321	1,331	1,305	1,314	1,325	559	(1,484)	530	1,681	1,989	2,273	2,736	3,285	3,903	4,496	5,269	6,111
Receivables Turnover	6.4	6.3	6.8	7.1	6.7	7.7	7.0	7.1	7.3	7.7	7.6	7.6	7.6	7.6	7.6	7.6	7.6	7.6
Avg Receivables collection period (DSO's)	57	58	54	51	55	47	52	52	50	47	47	47	47	47	47	47	47	47
Inventory Turnover	2.4	2.2	2.2	2.7	2.6	2.5	2.4	2.7	2.7	2.9	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8
Avg inventory processing period (Inv days)	155	163	162	135	140	143	150	136	137	126	126	126	126	126	126	126	126	126
Payables turnover	7.4	7.1	5.6	5.9	5.6	5.3	4.6	4.4	4.3	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Payables payment period	49	52	66	62	65	69	79	83	85	104	104	104	104	104	104	104	104	104
Cash Conversion Cycle (in days)	163	169	151	124	130	122	124	105	102	70	70	70	70	70	70	70	70	70
Operating efficiency measures																		
Fixed asset turnover	2.2	1.9	2.0	2.3	2.3	2.5	2.6	3.3	3.4	3.5	4.0	4.1	4.4	4.7	5.0	4.9	5.1	5.3
Total Asset turnover	0.3	0.3	0.3	0.4	0.4	0.5	0.5	0.6	0.5	0.6	0.6	0.7	0.7	0.8	0.8	0.8	0.8	0.8
Operating Profitability Measures																		
Gross Margin	32.6%	27.8%	32.8%	32.3%	35.2%	37.8%	39.4%	42.5%	47.9%	50.4%	50.8%	51.0%	51.2%	51.4%	51.6%	51.7%	51.8%	51.9%
Operating Profit Margin	4.1%	-5.1%	3.0%	7.9%	10.8%	15.0%	18.7%	25.2%	32.2%	36.7%	39.5%	40.1%	40.5%	41.1%	41.4%	41.5%	41.7%	41.8%
ROTE	1.7%	-0.9%	1.4%	3.4%	4.7%	5.6%	11.1%	17.0%	7.6%	7.0%	8.5%	9.1%	9.6%	10.0%	10.0%	9.9%	9.9%	9.6%
ROIC	0.4%	-0.4%	0.3%	0.9%	1.3%	1.9%	3.2%	16.2%	8.2%	7.6%	9.5%	10.3%	10.9%	11.4%	11.4%	11.4%	11.4%	11.1%
ROA	0.5%	-0.2%	0.3%	0.8%	1.0%	1.5%	1.9%	3.0%	3.2%	4.5%	5.4%	5.9%	6.4%	6.7%	6.9%	7.0%	7.1%	7.0%
Valuation Measures																		
EBIT	15.0	-15.8	10.0	31.7	46.1	72.3	99.8	167.7	260.7	368.9	494.0	586.2	680.4	782.7	865.4	954.2	1049.5	1131.6
Depreciation and Amortization	69.1	99.2	70.6	64.9	60.1	61.1	62.2	64.6	66.6	33.6	34.0	34.3	34.6	35.0	35.3	35.7	36.0	36.4
EBITDA	84.1	83.4	80.6	96.6	106.2	133.4	162.0	232.3	327.3	402.5	527.9	620.5	715.0	817.7	900.7	989.9	1085.5	1168.0
Book value	1176.7	957.3	895.9	872.3	879.5	1134.7	780.8	846.6	2973.4	4643.9	5036.7	5505.4	6052.6	6685.2	7386.9	8163.6	9019.9	9944.7
Intangibles	1055.9	1055.8	1060.9	1060.9	1060.9	1060.9	1060.9	1060.9	1066.3	1069.3	1069.3	1069.3	1069.3	1069.3	1069.3	1069.3	1069.3	1069.3
Tangible BV	120.8	-98.5	-165.0	-188.6	-181.4	73.8	-280.1	-214.3	1907.1	3574.6	3967.4	4436.1	4983.3	5615.9	6317.6	7094.3	7950.6	8875.4
# of shares	68.1	67.8	69.1	71.6	72.2	72.0	78.3	86.1	95.2	101.1	101.6	102.1	102.6	103.1	103.7	104.2	104.7	105.2
Tangible Book Value Per Share	1.8	-1.5	-2.4	-2.6	-2.5	1.0	-3.6	-2.5	20.0	35.4	39.0	43.4	48.6	54.5	60.9	68.1	75.9	84.4
Book Value Per Share	17.3	14.1	13.0	12.2	12.2	15.8	10.0	9.8	31.2	45.9	49.6	53.9	59.0	64.8	71.3	78.4	86.2	94.5
Net Cash Per Share	\$ 12.09	\$ 12.45	\$ 12.83	\$ 12.16	\$ 11.65	\$ 11.85	\$ 14.01	\$ 13.15	\$ 33.12	\$ 26.89	\$ 28.20	\$ 29.55	\$ 32.58	\$ 36.41	\$ 41.06	\$ 45.31	\$ 51.19	\$ 57.85
Interest Expense (Income)	(9.0)	(5.4)	(5.5)	(5.6)	(5.7)	(5.4)	(4.9)	(6.3)	(6.2)	(2.8)	(2.8)	(2.8)	(2.8)	(2.8)	(2.8)	(1.8)	(1.8)	(1.8)

Source: TD Cowen estimates, Company Reports

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Data Networking & Wireline Equipment:

Our valuation methodology is based on Price to Earnings per Share (P/E) and in cases where the company lacks consistent positive earnings, Enterprise Value to Revenue (EV/Rev). In certain cases, our valuation is also informed by a discounted cash flow (DCF) analysis.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Data Networking & Wireline Equipment:

(1) rapidly changing/disruptive technology, particularly software defined networking, network functions virtualization, and virtualization could have an adverse impact on demand and/or pricing; (2) deterioration in the macro environment both domestically and internationally could lead to a reduction in enterprise IT spending and service provider capital expenditures with a consequent adverse impact on Data Networking and Communication Equipment companies' revenue and valuation multiples; and (3) further consolidation among service providers or adverse regulatory changes on service providers could lead to a reduction in their capital expenditures.

Risks To The Price Target

We see the following downside risks to our call:

- A more material or accelerated downturn in the merchant InP laser market, with a dual impact on revenues and margins that results in a significant impairment of earnings power.
- A faster than anticipated shift to co-packaged optics on scale out, creating revenue headwinds from the loss of content and shift towards cheaper CW lasers.
- A delayed adoption of co-packaged optics in scale up networks, which would be counter to what we see as investor expectations. This would likely drive the earnings multiple lower even as fundamentals remained apparently strong.

We see the following upside risks to our call:

- Demand continues to outstrip supply despite capacity expansions across the InP value chain, resulting in material upside to Lumentum revenue.
- Faster adoption of CPO in scale up than we are modeling, driving upside to revenue.
- A slower transition to silicon photonics than we anticipate, keeping Lumentum's revenue mix more EML-based for longer. This would have the effect of both mitigating our oversupply concerns while also benefitting Lumentum's margin.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
CIEN	Ciena
CRDO	Credo Technology Group Holding Ltd
LITE	Lumentum Holdings
SMTC	Semtech Corp.

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Buy (1): The stock is expected to achieve total return of +15% or more over the next 12 months

Hold (2): The stock is expected to achieve a total return that falls between -10% to +15% over the next 12 months

Sell (3): The stock is expected to achieve a total return of -10% or below over the next 12 months

Suspended (4): Due to evolving circumstances and potential conflicts of interest, we can no longer generate what we consider a defensible rating at the current time

Assumption: The expected total return calculation includes annual return and forecasted dividend yield

TD Cowen Equity Research Rating Distribution

Distribution of Ratings/Investment Banking Services (IB) as of 06/30/26

Rating	Count	Ratings Distribution	Count	IB Services/Past 12 Months
Buy	868	66.92%	348	40.09%
Hold	416	32.07%	130	31.25%
Sell	13	1.00%	4	30.77%

TD Cowen Equity Research Rating Distribution Table does not include any subject company for which the equity research rating is currently suspended.

Ciena Rating History as of 08/11/2026

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Semtech Corp. Rating History as of 08/11/2026

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I = Initiation | 1 = Buy | 2 = Hold | 3 = Sell | 4 = Suspended | UR = Price Target Under Review | D = Discontinued Coverage | \$xx = Price Target | NA = Not Available

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